DECISION RECORD | 30 AUGUST 2026

Clara Bruns — Tanneryside Trading Company liquidity decision

Prepared by Jelena Coutinho, Personal Financial Advisor, for Edith Lombardi / Legal. Closed-record analysis for a firm care-community deposit of **$280,000 in cleared funds by 15 October 2026**.

Position	Recorded basis	Hard requirement	Decision set
41,000 units of the non-traded Tanneryside Trading Company real estate investment program	$502,250 aggregate recorded cost basis ($12.25/unit); not held in a retirement account	Deposit date is firm; Maude Dalgaard confirmed it. Clara seeks best available value and prefers not to sell more units than necessary.	Bounded policy choice: sponsor tender, hold, or documented secondary bid. No undocumented buyer or partial buyer may be assumed.

Decision lens: value evidence is not the same as available cash

Tanneryside displays NAV of **$10.42/unit ($427,220)**. That figure is appraisal-based: underlying appraisal dated **31 December 2023**, posted **28 March 2024**, with **no subsequent refresh**. It must not be presented as Clara's current cash-equivalent value, guaranteed sale price, or directly realizable market value. It is a sponsor-reported estimate, not a current observable public-market price.

Present evidence	Gross per unit / position	What it means for valuation
Documented executable secondary bid	$7.05 / $289,050	Lower realizability anchor: buyer will take all 41,000 units on stated terms.
Sponsor tender — conditional	$7.60 / $311,600	Upper realizability anchor only if accepted; timing and accepted quantity are uncertain.
Decision-oriented present gross range	**$7.05–$7.60 / $289,050–$311,600**	Not an average of NAV and market evidence. The $7.60 endpoint is conditional and untimely for Clara's need.

Why the NAV gap is not resolved by "splitting the difference." The $7.05 bid is 32.34% below NAV (discount measured against NAV). The gap can reflect the old appraisal date and appraisal method, non-traded illiquidity, small and irregular historical trade sizes, seller fees, and the conditions attached to actual execution. Completed trades and executable offers are realizability evidence; neither they nor NAV are a perfectly observable public-market price.

EVIDENCE THROUGH TIME

Historical market record

Historical observations inform context only. They do not create an available offer or establish what a 41,000-unit position will clear at today.

Completed secondary-platform transactions — actual clearing events, not listings, bids, or NAV

Period	Completed transactions	Like-for-like range / reading
Q4 2024	4,000 units @ $6.20; 2,500 @ $6.35	$6.20–$6.35
Q1 2025	5,000 @ $6.55; 3,000 @ $6.70	$6.55–$6.70
Q2 2025	2,000 @ $6.85; 7,500 @ $7.00; 4,000 @ $7.10	$6.85–$7.10
Q3 2025	1,500 @ $7.20; 6,000 @ $7.05	$7.05–$7.20

Like-for-like completed-trade evidence moved upward from $6.20–$6.35 in Q4 2024 to $7.05–$7.20 in Q3 2025. The direction is favorable, but the sample is small and irregular, and prices are dispersed. The historical prints range from 1,500 to 7,500 units; they do not guarantee continued appreciation, a current $7.20 price, or execution for all 41,000 units.

Expired unsolicited mini-tenders — historical bidder appetite only; none is exercisable and none evidences a sale by Clara

Expired offer price	Maximum units	Expiry	Treatment
$6.35/unit	25,000	31 January 2025	Expired historical indication
$6.70/unit	60,000	31 March 2025	Expired historical indication
$7.15/unit	35,000	30 June 2025	Expired historical indication
$7.40/unit	50,000	31 August 2025	Expired historical indication

These unsolicited offers suggest changing bidder appetite over time, but they are not completed transactions, do not prove Clara sold any units, and cannot be treated as currently available prices.

Liquidity context

The ordinary redemption plan was suspended on **14 November 2024** and no resumption has been announced. Holding is not a statement that the units are worthless or permanently unsaleable; it means there is **no scheduled liquidity before 15 October 2026** on this record.

ALTERNATIVES

Economics and timing test

Amounts are shown consistently as gross proceeds less stated seller/processing fee = net proceeds. “Expected” does not eliminate stated execution conditions.

Alternative	Economics for 41,000 units	Expiry / settlement	Execution and deadline result
Accept current secondary bid	Gross $289,050 1% seller fee: $2,890.50 **Expected net: $286,159.50**	Expires 5:00 p.m. 12 Sep 2026 Settles 20 Sep 2026	All 41,000 only; no financing condition. Settlement precedes 15 Oct deadline; expected net exceeds $280,000 by **$6,159.50**.
Sponsor tender	Full-acceptance scenario only: Gross $311,600 2% fee: $6,232 Net $305,368	Tender closes 5:00 p.m. 30 Sep 2026 Expected settlement 15 Nov 2026	Any number may be tendered, but 5,000,000-unit program limit may cause proration. Acceptance and accepted count are not guaranteed. Expected settlement follows deadline.
Hold	No stated sale proceeds or fee	No scheduled liquidity before 15 Oct 2026	Ordinary redemption remains suspended; no announced resumption. Does not fund the firm deposit on the record.

The tender’s potential full-acceptance premium is **$22,550 gross** ($311,600 versus $289,050) or **$19,208.50 net** ($305,368 versus $286,159.50). It is nominally higher but cannot satisfy the firm liquidity deadline: expected settlement is after 15 October and proration can reduce accepted units. The withdrawal right through the deadline does not create liquidity, and no accelerated settlement has been offered.

Requirement collision

Clara’s wish not to sell excess units is reasonable. So is the need for cleared proceeds by the firm date. They conflict because the only documented bid that clears in time is all-or-none for 41,000 units; the buyer will not purchase a partial position. The documented sale produces $6,159.50 more cash than required, but it is the bounded trade-off that secures the deadline without inventing another buyer.

The current bid is the only documented current secondary bid: **$7.05/unit for all 41,000 units**, no financing condition, 1% seller fee, expiry at 5:00 p.m. on **12 September 2026**, and settlement on **20 September 2026**.

LIMITS AND DISPOSITION

What the record supports — and does not

This is a bounded liquidity decision, not a formal appraisal, tax opinion, or forecast.

Material limits

Known from the record	Not determined by the record
The secondary bid is executable on its stated all-unit terms and has no financing condition. The tender is conditional, subject to a 5,000,000-unit limit, and expected to settle after the funding date. Historical trades were completed but smaller than Clara's position.	Client-specific tax consequences; future unit value; future distributions; sponsor redemption resumption; tender acceptance or proration; and any future secondary price or buyer. No value is assigned to these unknowns.

Basis and tax context

Against the recorded aggregate cost basis of **$502,250**, the documented sale's expected net proceeds of **$286,159.50** are an economic/cash difference of **$216,090.50**. That comparison is not an exact deductible loss, tax result, or tax benefit. Tax treatment depends on client-specific information not in this closed record.

Decision rationale

The stated NAV remains useful as a dated appraisal-based reference, but it does not cure the funding constraint or override realizable evidence. Holding has no scheduled liquidity before the deposit date. The tender's higher full-acceptance net scenario is conditional and expected after the deadline. The documented secondary bid is the only listed alternative that has an identified buyer, a stated settlement before the deadline, and expected net proceeds sufficient for the deposit.

DECISION

Decline the sponsor tender and accept the documented all-or-none secondary bid for all 41,000 units at $7.05 per unit, producing expected net proceeds of $286,159.50 and cleared funds on 20 September 2026—before the firm 15 October 2026 deposit deadline.